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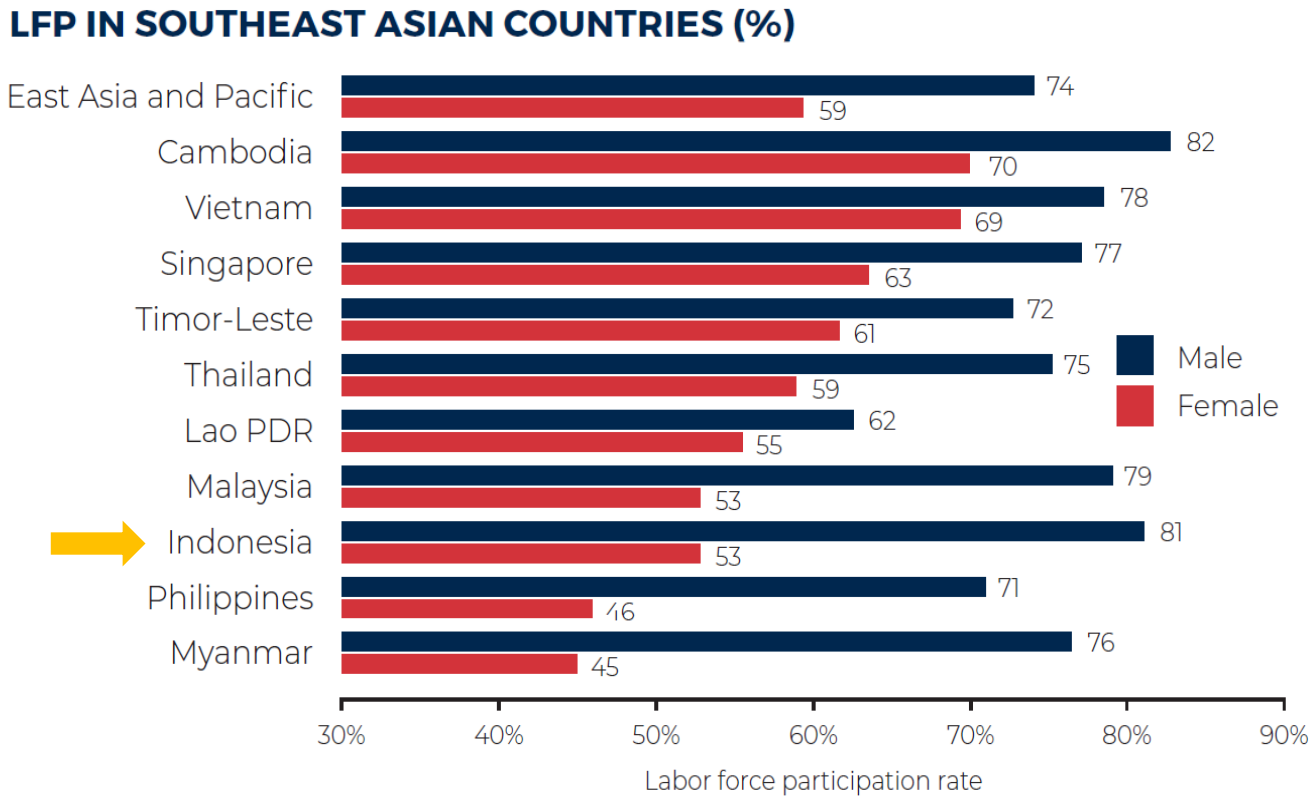
The Care Economy in Indonesia

Report Findings and Implications

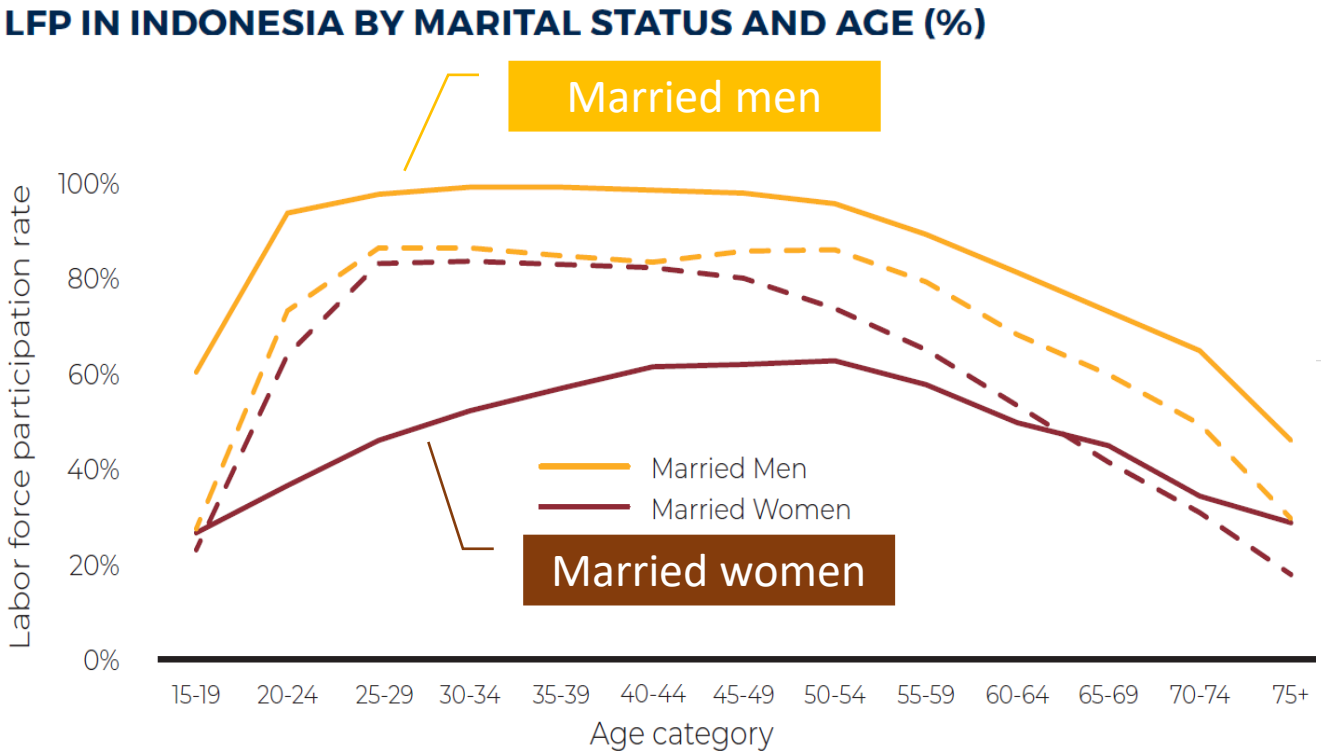
Emcet Oktay Tas, Ph.D.
World Bank

Indonesia has a large gender gap in workforce participation

- Female labor force participation (FLFP) has remained unchanged for at least two decades, fluctuating around 50-53 percent



Source: World Bank Gender Data Portal based on International Labour Organization (ILO) estimates for 2022.



Source: World Bank staff calculation from National Labor Force Survey (SAKERNAS).

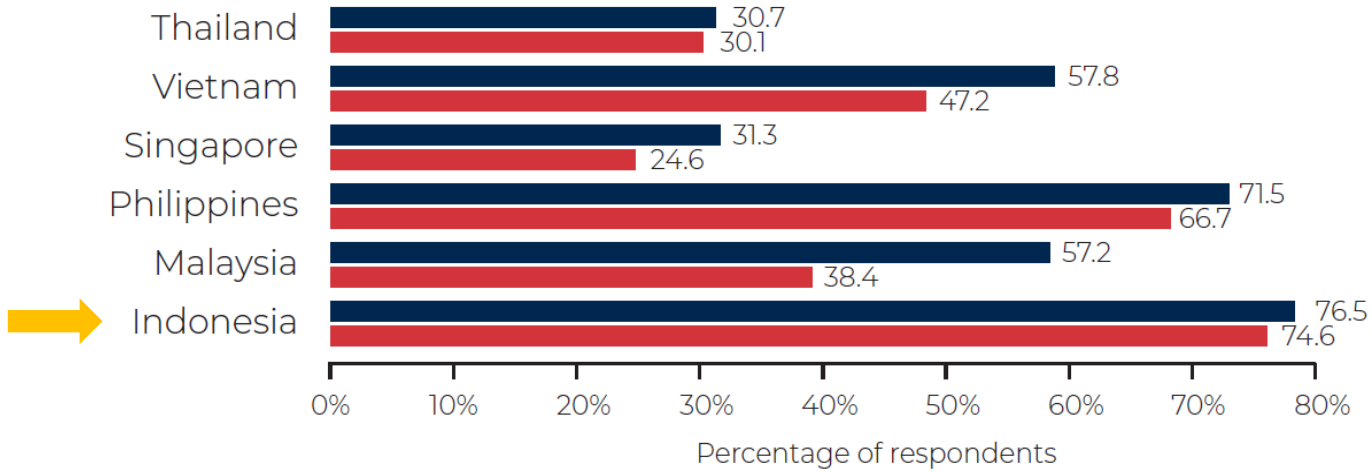
Marriage and childbirth correlate with women's exit from the workforce

While 90% of married men work uninterrupted from ages 20-60, married women's workforce participation rate peaks at around age 45

There are several explanations for this gap

- Men and women are assigned to different roles in the economy and society
- Labor markets and economic institutions do not support balancing work and care roles

RESPONDENTS WHO BELIEVE MEN SHOULD HAVE MORE RIGHT TO A JOB THAN WOMEN (% OF RESPONDENTS)



Source: World Values Survey, share of respondents who agree or strongly agree with the statement that men should have more right to a job than women.







Investing in the care economy would have benefits for Indonesia

- Create new jobs
- Increase employment and productivity
- Improve human capital accumulation
- Contribute to economic growth



Understanding the care provision landscape

The report provides an assessment of the care ecosystem in Indonesia, with a focus on childcare

3,000 households

Household survey of 3,000 caregivers in 52 districts (children 0-6 years)

200 care economy stakeholders

Interviews with caregivers, government officials, domestic workers, educators

300 care service providers

Online survey of childcare service providers

Global and national case studies

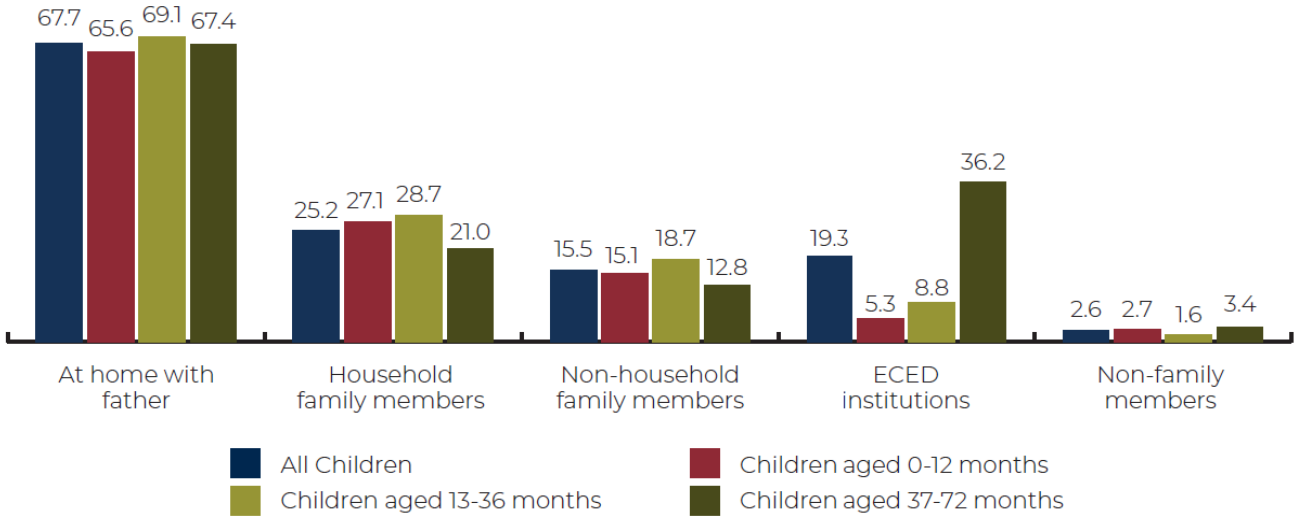
Global review of care economy policies, employer-supported childcare, landscape for public provisioning

1 Key Findings

Most childcare provision is informal and led by women

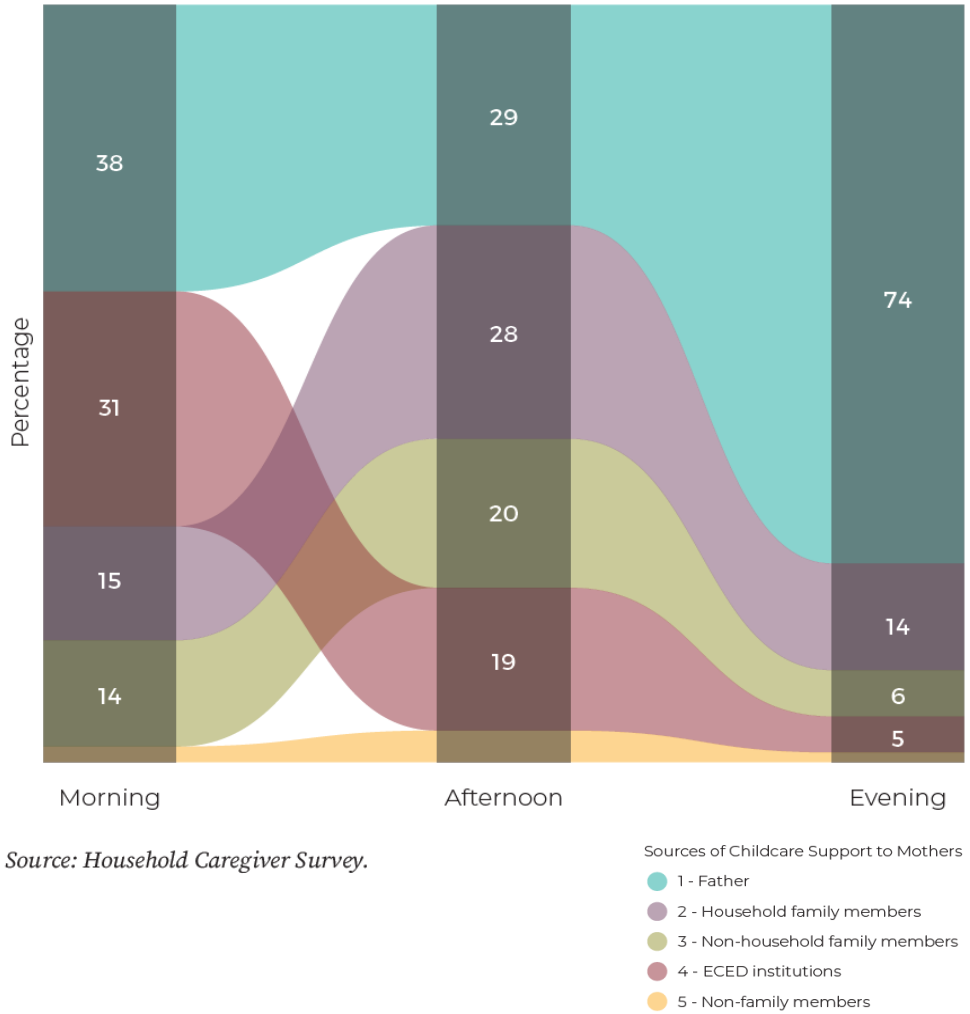
- Universally, mothers are the primary caregivers, who are supported by a variety of other sources
- Attendance in PAUD institutions is low, especially for young children

SOURCES OF CHILDCARE SUPPORT FOR MOTHERS BY CHILDREN'S AGE (% OF RESPONSES)



Source: Household Caregiver Survey.

CHILDCARE SUPPORT RECEIVED BY MOTHERS THROUGHOUT THE DAY (% RESPONSES)



Source: Household Caregiver Survey.

A typical day for families involves an intensive effort to mobilize childcare solutions

13.7 hours/ day

Time spent by mothers on care and domestic work

Compared to only 3-4 hours by husbands and other sources

2.5 hours/ day

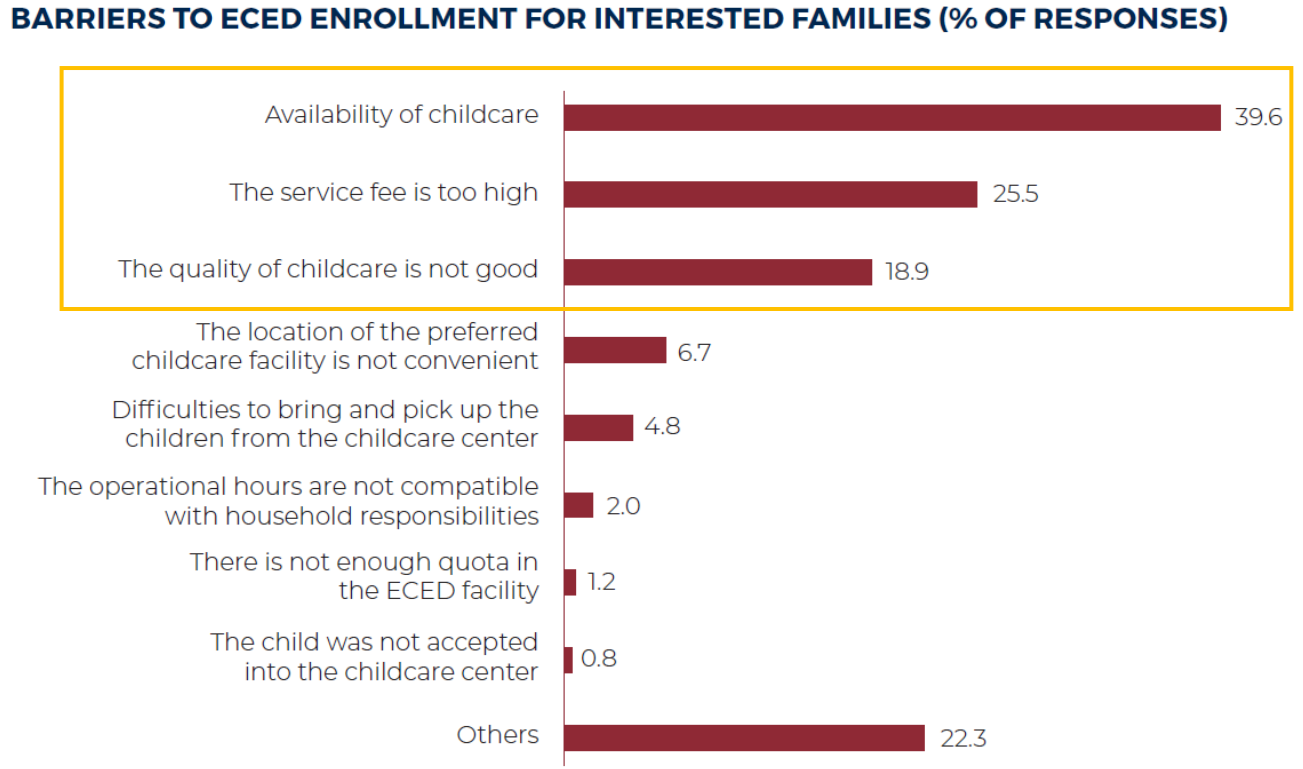
Time spent by mothers on market work

3.5 times less than the time spent on care work

2 Key Findings

Early childhood development facilities provide limited support

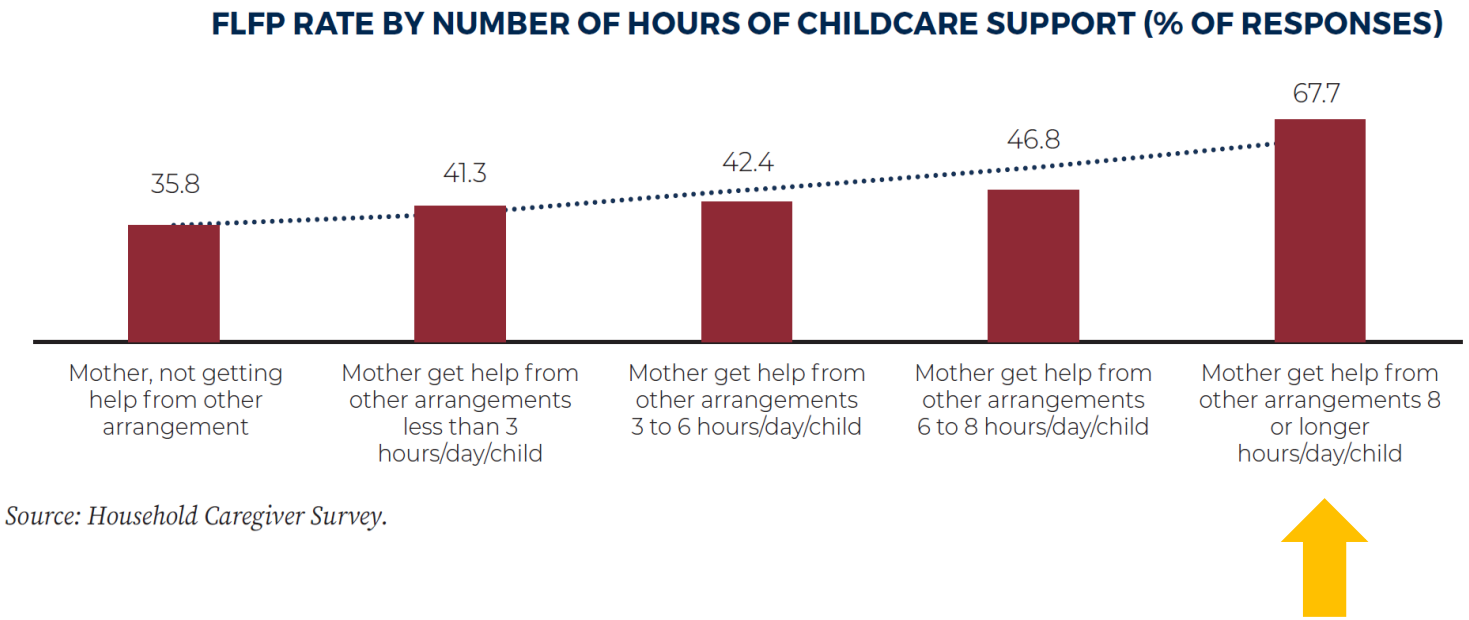
- Availability, affordability, and quality of ECED institutions remains limited
- This contributes to a cycle of low demand and low service quality



Source: Household Caregiver Survey.

3 Key Findings

Availability of childcare promotes women's employment

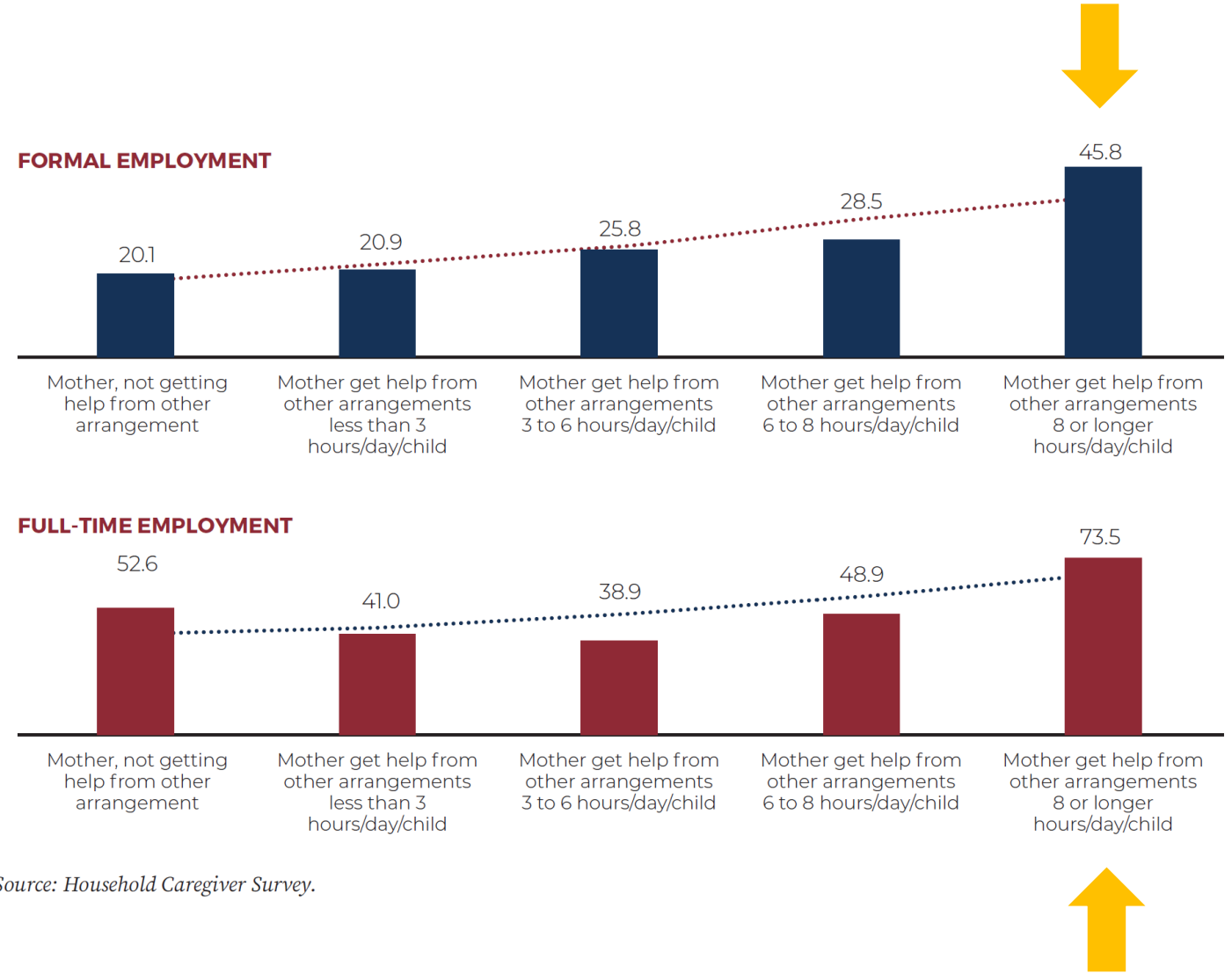


Source: Household Caregiver Survey.

- Full-time (>8 hours) care support yields the greatest benefits

- Mothers with longer childcare support are more likely to work **full-time** and hold **formal sector** jobs

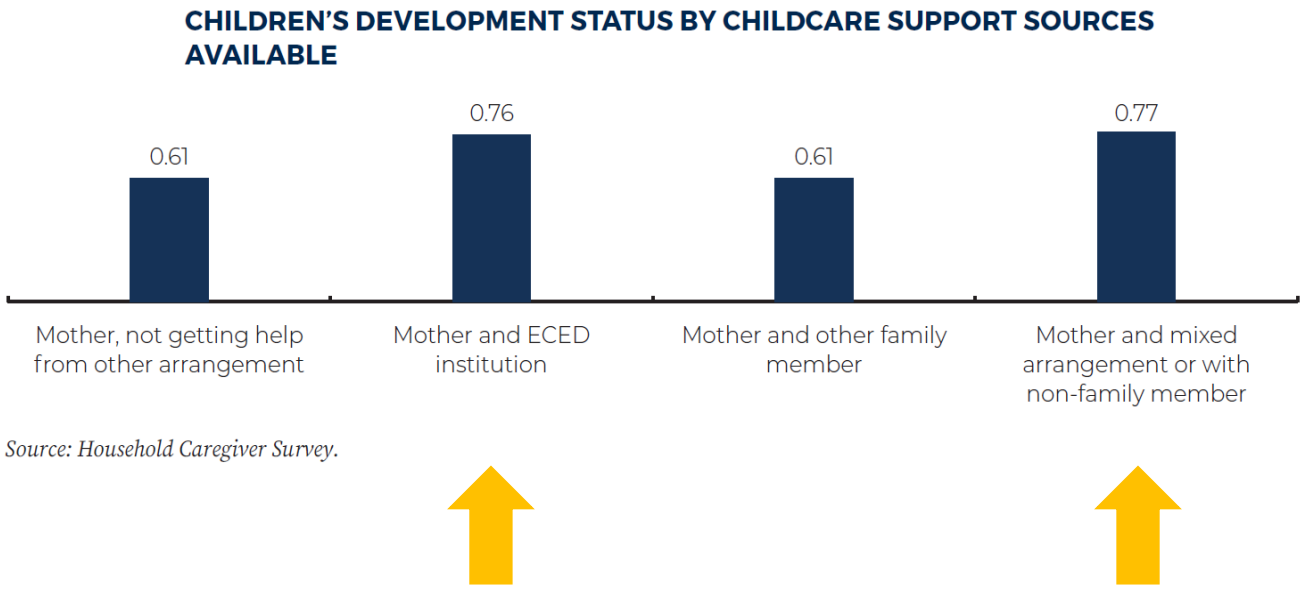
- They are also more likely to transition from low-value-added to **high-value-added** sectors



Source: Household Caregiver Survey.

4 Key Findings

Access to early childhood education improves children's wellbeing



Source: Household Caregiver Survey.

Children enrolled in ECED and children who have mixed childcare arrangements have better outcomes:

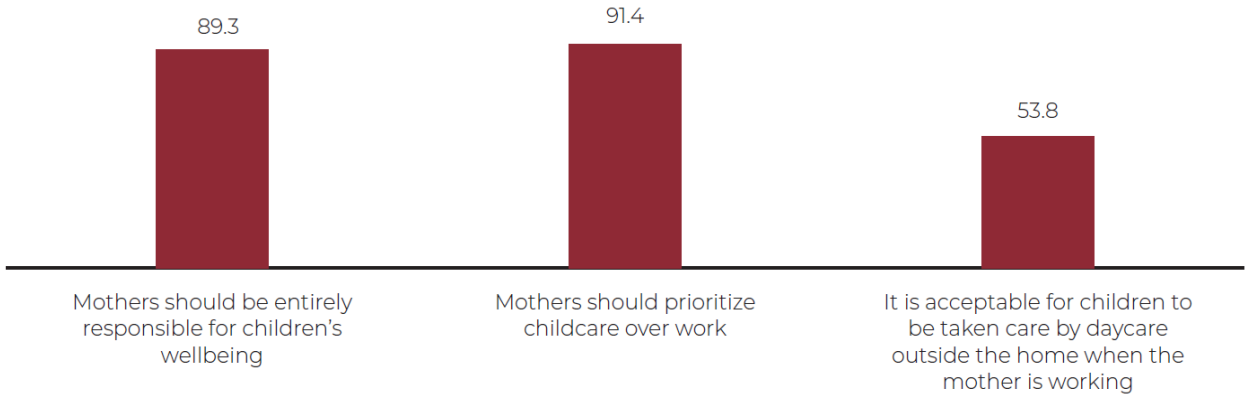
- Early literacy
- Early numeracy
- Executive functioning
- Social-emotional development

5 Key Findings

Role of social norms cannot be overlooked

- Mothers adhere to traditional norms that assign childcare as the primary responsibility of women
- It is possible to influence common perceptions about women's work and childcare roles

MOTHERS' AGREEMENT WITH VALUE STATEMENTS RELATED TO CHILDCARE (% OF RESPONSES)



Source: Household Caregiver Survey.



What are some policy options?

Invest in the care ecosystem, starting with childcare

- Recognize and value unpaid care and domestic work
- Provide public services, infrastructure and social protection policies
- Promote shared responsibility within families

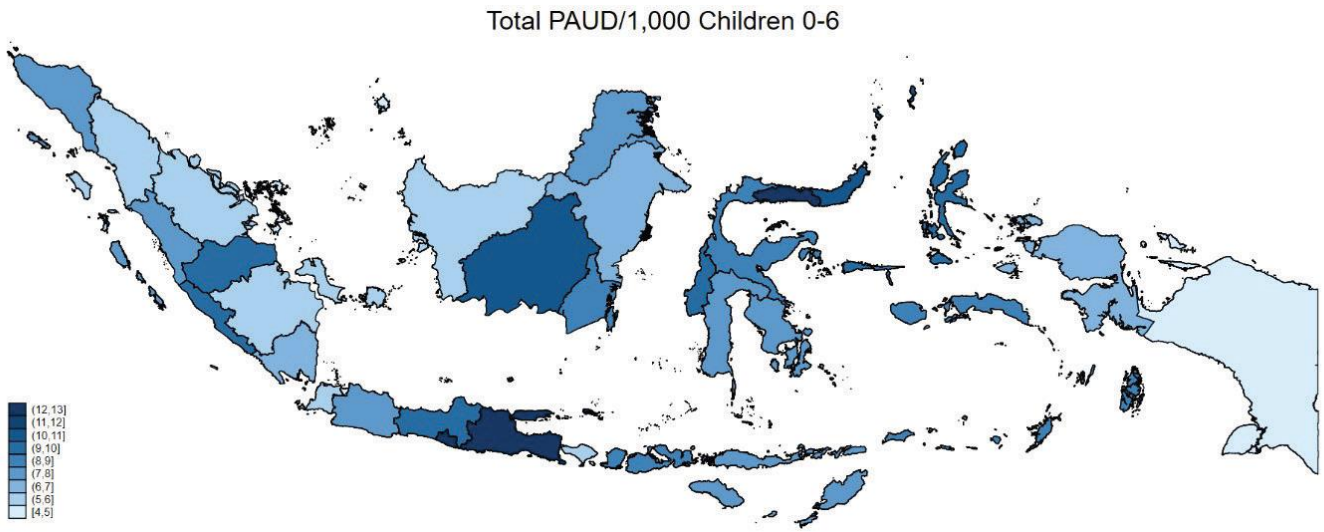


Indonesia has taken early steps

- New target for female labor force participation in RPJMN 2025-29
- Care Economy Roadmap and National Action Plan 2025-2045
- Mother and Child Welfare Law 2024

1 Next Steps

Invest in the availability, affordability, quality of care services



- Increase public spending in ECED to OECD recommendation of 1 percent
- Recognize and support diverse forms of childcare provision
- Provide financial support to families and service providers
- Invest in the skills and rights of care workers
- Incentivize the private sector invest in the care sector and support their employees

2 Next Steps

Strengthen policies and institutions

Workplace Policies

- Expanding maternity and paternity benefits to all workers
- Supporting benefits through public programs

Rights and Protections

- Recognizing and protecting caregiving as work
- Improving compensation and rights of care workers

Social Norms

- Promoting a fairer distribution of caregiving roles
- Raising awareness about and supporting women's choice to work

3 Next Steps

Take a whole-of-government, whole-of-society approach

- Care economy is an inherently multisectoral agenda and requires collaboration of at least 15 agencies at the national level.

- Care services also depend on more than 500 subnational entities and thousands of local organizations and communities on the frontlines.





The Care Economy in Indonesia:

A Pathway for Women's Economic Participation and Social Well-being

"The report provides a comprehensive assessment of Indonesia's care ecosystem, with a focus on childcare, and makes practical recommendations for the government, private sector, and other stakeholders."

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